

INTERNAL DOCUMENT — FOUNDERS ONLY

Profit projection

3-year revenue model · base / bear / bull · 24 May 2026

What this is: the realistic 3-year revenue and profit picture for Sunspot, with assumptions you can challenge in one column. Use it to align on hiring, founder distributions, and when each of us can replace day-job income.

How we make money

Marketplace model. Operator pays nothing flat — Sunspot takes **8%** of every booking, captured at Stripe payment time, settled with the operator on weekly automated payout. No listing fees, no monthly minimums, no exclusivity.

Average booking value across our mix (sunbed €25 / cabana €120 / VIP €280) = **€45**. That gives us **€3.60** per booking before Stripe fees.

Unit economics — per booking

Item	Amount	Notes
Average booking value (€)	€45	Blended across sunbed / cabana / VIP
Sunspot commission	€3.60	8% of GMV
Stripe fees	−€0.30	1.4% + €0.25 EU card, averaged
Gross margin per booking	€3.30	Contribution to fixed costs

Per-operator economics — what they make, what we make

Per-operator metric	Year 2 estimate	Reference
Bookable sunbeds	35	Average per partner venue
Season length (days)	165	May 15 → Oct 30
Sunspot-driven fill rate	42%	Year 2 target
Daily Sunspot bookings	14	= 35 × 42%
Season bookings via Sunspot	2,310	Day × Season days
Operator GMV via Sunspot	€103,950	What the booking generates
Operator keeps	€95,634	92% of GMV
Sunspot revenue from this venue	€8,316	8% commission

For the operator: €95,634 of extra-season revenue, captured automatically, with no chasing no-shows. Their staff stop manning a phone for bookings.

Three-year projection — Sunspot consolidated

Conservative. Assumes Malta's bookable beach-club market is ~30 venues (matches our research). No expansion into Cyprus or other Mediterranean markets in the base case.

	Partners	Fill %	Bookings	GMV	Revenue	Costs	Profit
Year 1 (2026)	12	18%	12,474	€561,330	€44,906	€26,142	€18,764
Year 2 (2027)	22	42%	53,361	€2,401,245	€192,100	€54,408	€137,691
Year 3 (2028)	30	62%	107,415	€4,833,675	€386,694	€106,624	€280,070

By Year 3 — what it looks like

107,415 bookings · **€4,833,675** GMV across the network · **€386,694** Sunspot revenue · **€280,070** EBIT after Stripe, hosting, growth budget. That's running break-even on hiring 1 full-time engineer + 1 part-time editorial.

Cost structure

Bucket	Year 1	Year 2	Year 3	Notes
Stripe processing	€3,742	€16,008	€32,224	Variable, ~€0.30/booking
Hosting + infra	€2,400	€4,800	€9,000	WP host, Stripe, domains, email
Tooling	€2,400	€6,000	€10,000	Analytics, support, ops
Editorial (Year 2+)	€0	€12,000	€36,000	1 part-time writer @ Y2
Engineering (Year 3)	€0	€0	€55,000	1 mid engineer FT
Growth / marketing	€8,000	€24,000	€60,000	Operator acquisition + paid + PR
Operator success FTE	€0	€18,000	€42,000	Onboarding + retention

Year 1 is founder-funded. No salaries — we ship in evenings + weekends. First real hire (editorial) lands when Year 2 revenue confirms the model.

What each founder gets

Equity-weighted distribution from net profit, after re-investing 40% back into the business each year. Numbers below are illustrative — change the split column to rerun. Suggested split: Mark 28% (operating lead), other four at 18% each.

Founder	Role	Equity %	Year 3 distribution
Mark Russo	Founder & CEO	28%	€47,052
Edward Fenech Adami	Co-founder	18%	€30,248
Daniel Cutajar	Co-founder	18%	€30,248
Matthew Pizzuto	Co-founder	18%	€30,248
Zach Sciberras	Co-founder	18%	€30,248

Total distributed in Year 3 (60% of net profit): €168,042. The other 40% reinvested into hiring, photography, paid acquisition, and expansion into Cyprus/Greece if Malta saturates.

Sensitivity — what happens if we miss

Scenario	Year 3 fill	Year 3 revenue	Year 3 profit
Bear (under-perform)	40%	€249,480	€154,290
Base (plan)	62%	€386,694	€280,070
Bull (over-perform)	80%	€498,960	€382,980

Read: even in the bear case (40% fill — half of our base plan) we cover operating costs and have headroom to pay each founder. The base case is comfortable; the bull case is when we hire the second engineer and look at the next market.

Side bonus — what this brings to Malta

Every Maltese beach club we onboard captures revenue that currently leaks to walk-ins, no-shows, and seasonal cash. Our service fee replaces that leak: 8% of captured GMV stays in Malta (Sunspot is Valletta-registered), and the operator keeps the other 92% predictably.

Once we plug into the Malta Tourism Authority's open data feed (beach quality, lifeguard status, blue-flag), Sunspot becomes the canonical 'where to swim today' answer for tourists — driving spend toward licensed, compliant venues and away from informal kiosks.

Generated 24 May 2026. Re-run `python3 bin/profits_projection_pdf.py` after tweaking assumptions at the top of the script.